

might feel bad, but explain him to live with this, because this is what taxes are, and these are an inherent part of our lives. Having said that, we must get smart in dealing with taxes to increase our net income. It is precisely with this intent that we have a dedicated section on smart tax saving techniques later in the book. Before we get there, let us clear up our fundamental concepts on taxes right here.

There are various categories of taxes and some of the commonly used tax categories are listed below. Taxation is a very comprehensive subject in itself and its detailed study is beyond the scope of this book. The idea of introducing this topic here is to make sure that you are familiar with the fundamental concept of taxation and its impact on your investment returns.

Tax categories

1. Taxes on income
 - Income tax
 - Capital gains tax
 - Corporate tax
2. Taxes on property
 - Property tax
 - Transfer tax
 - Wealth tax (Abolished recently)
3. Taxes on goods and services
 - Sales tax
 - Excise tax
 - VAT
4. Other taxes
 - License tax
 - Toll tax

A general understanding of the taxation structure is important to take informed decisions while making investments under various tools. Income Tax and Capital Gains Tax are two of the most common taxes that you would deal with when you are investing your money in an attempt to beat